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Case Number: 25STCV06193 Hearing Date: July 21, 2026 Dept: 734

The

following tentative ruling is issued pursuant to Rule of Court 3.1308 at 2:09 PM on July 20, 2026.

Rule

of Court 3.1308(a)(1) provides that a “tentative ruling will become the ruling of the court if the court has not directed oral argument by its tentative ruling and notice of intent to appear has not been given.”

The

Court does not desire oral argument on the motion addressed herein. Notice of intent to appear is REQUIRED pursuant to California Rule of Court 3.1308(a)(1).

No

later than 4:00 p.m. on July 20, 2026, the moving and opposing parties must provide notice to ALL OTHER PARTIES and the staff of Department 734 whether the party intends to (1) appear and argue the motion, or (2) submit to the tentative ruling.

Notice to Department 734 should be sent by

email to , with opposing parties copied on the email. The high volume of telephone calls to Department 734 may delay the Court's receipt of notice, so telephonic notice to 213-830-0776 should be reserved for situations where parties are unable to give notice by email.

Plaintiffs

allege that Defendants made misrepresentation about their college consulting skills, consulting services, where Plaintiff Chen would be able to attend university, and falsified documents inducing Plaintiffs to pay exorbitant fees to Defendants. However, Defendants had only caused Plaintiff Lucia to be

enrolled in UC Berkeley Extension and Harvard Extension classes. As a result of these misrepresentations Plaintiffs suffered significant damages of at least \$500,000.

Defendants

Amy Lee filed a Cross-Complaint against Plaintiffs seeking payment for the value of tutoring and college preparation services rendered.

Defendant

Cong Ming Shen filed a Cross-Complaint against Plaintiffs seeking reimbursement for living expenses and care provided to Plaintiff Lucia while she was living at Shen's house and attending school in the United States.

Plaintiffs/Cross-Defendants Lucia Chen and Yanling

Shi demur to the First Amended Cross-Complaint filed by Defendant Lee.

TENTATIVE RULING

Plaintiffs/Cross-Defendants Lucia Chen and

Yanling Shi's demurrer to the First Amended Cross-Complaint filed by Cross-Complainant Amy Lee is OVERRULED as to the first, sixth, seventh and eighth causes of action and SUSTAINED without leave to amend as to the second, third, fourth and fifth causes of action.

Plaintiffs/Cross-Defendants Lucia Chen and

Yanling Shi's motion to strike portions of the First Amended Cross-Complaint filed by Cross-Complainant Amy Lee is MOOT as to the punitive damage allegations at Page 14:26, Page 16:23, Page 18:16 and DENIED as to "special and punitive damages" [Page 19:20-21]; "For Special damages including lost income/business expectancy;" [Page 23:12]. "For Punitive and exemplary damages pursuant to Civ. Code § 3294;" [Page 23:13].

Cross-Defendants

are to answer the remaining allegations of the First Amended Cross-Complaint filed by Cross-Complainant Lee within 10 days.

ANALYSIS

Demurrer To First

Amended Cross-Complaint filed by Defendant/Cross-Complainant Amy Lee

Request For Judicial Notice

Cross-Complainant

requests that the Court take judicial notice of the following: (1) The Court's February 27, 2026 minute order and tentative ruling on the demurrer and motion to strike directed to the original Cross-Complaint; (2) The Court's March 17, 2026 minute order and ruling on Plaintiffs/Cross-Defendants' demurrer to, and motion to strike portions of, Cross-Complainant's Cross-Complaint in this action.

Requests

Nos. 1 and 2 are GRANTED per Evid. Code § 452(d)(court records).

Meet and Confer

The Declaration

of Li Chen reflects that Cross-Defendant's counsel satisfied the meet and confer requirement set forth in Civ. Proc. Code, § 430.41.

Discussion

The Court

has reviewed the moving, opposing and reply briefs filed by the parties, but only addresses the points which the Court deems to be material to the disposition of this motion.

Plaintiffs/Cross-Defendants Lucia Chen and Yanling

Shi demur to the First Amended Cross-Complaints filed by Lee as follows:

1. First

Cause of Action (Quantum Meruit).

Cross-Defendants

argue there was no benefit conferred upon Cross-Defendants separately from the express agreement between the parties.

Cross-Complainant

argues that the amended Cross-Complaint alleges quantum meruit based on services provided after the express contract expired.

Quantum meruit refers to the well-established principle that “the law implies a promise to pay for services performed under circumstances disclosing that they were not gratuitously rendered.” (Citation omitted.) To recover in quantum meruit, a party need not prove the existence of a contract (citations omitted), but it must show the circumstances were such that “the services were rendered under some understanding or expectation of both parties that compensation therefor was to be made” (Citations omitted).

(Huskinson & Brown v. Wolf (2004) 32 Cal.4th 453, 458.)

However:

A quantum meruit or quasi-contractual recovery rests upon the equitable theory that a contract to pay for services rendered is implied by law for reasons of justice. See, e.g., 1 Witkin, Summary of California Law (9th ed. 1987) Contracts, sections 12, page 47; 91, pages 122-123; 112, pages 137-138. However, it is well settled that there is no equitable basis for an implied-in-law promise to pay reasonable value when the parties have an actual agreement covering compensation. (Citations omitted.)

(Hedging Concepts, Inc. v. First Alliance Mortgage Co. (1996) 41 Cal.App.4th 1410, 1419.)

The Court takes judicial notice of the allegations of the 1AC filed by Plaintiffs pursuant to Evid. Code § 452(d)(court records).

Here, the 1AC alleges that Plaintiffs had an express agreement (written “Consulting Contract”) with Smart Kidz for Cheung, Lee and Shen to provide the services provided for the compensation listed in ¶¶ 18, 19 of the 1AC, i.e., \$135,000.

However, the 1AC also alleges that Lee offered additional services for additional payment aside from the Consulting Contract. (1AC, ¶¶ 20, 22, 27, 37 - 39.)

The Complaint also alleges that a new graduate school consulting agreement was entered into whereby Cheung, Lee and Shen would provide services in exchange for \$200,000. (1AC, ¶¶ 31 – 34.)

Back

to the 1ACC, Lee alleges that:

70. In the alternative, and to the extent any express agreement existed concerning certain consulting or tutoring services, Cross-Complainant alleges that substantial additional services were rendered outside the express scope of any written agreement, outside any fixed compensation term, and/or after the original scope of work had been expanded or exhausted by Cross Defendants' ongoing requests.

71. These additional services included, without limitation, graduate school preparation, GRE-related support, internship-related coordination, application assistance for Johns Hopkins University, repeated daily monitoring and reminders, and additional mentoring and administrative work not covered by any fixed-sum compensation agreement.

72. Cross-Defendants requested, accepted, and benefited from these additional services, and Cross-Complainant rendered them with the expectation of payment and not gratuitously.

73. Lucia Chen and Shi have failed to pay the reasonable value of Amy Lee's services, including services rendered outside the scope of any fixed-sum agreement or express compensation term.

74. Despite partial payments, Lucia Chen and Yanling Shi have failed to pay the outstanding balance for services rendered, which exceeds the jurisdictional amount, resulting in damages to Amy Lee in an amount to be proven at trial.

Plaintiff

will be given an opportunity to prove that she performed services outside the scope of any express agreements between the parties, whether those services conferred a benefit on Cross-Defendants, and the reasonable value of such services. In this regard, the quantum meruit cause of action is sufficiently pled. "The sole issue raised by a general demurrer is whether the facts pleaded state a valid

cause of action, not whether they are true. No matter how unlikely or improbable, plaintiff's allegations must be accepted as true for the purpose of ruling on the demurrer. (Citation omitted.) Furthermore, plaintiff's possible inability or difficulty in proving the allegations of the complaint is of no concern. (Citation omitted.)" (Kerivan v. Title Ins. & Trust Co. (1983) 147 Cal.App.3d 225, 229.)

The
demurrer to the first cause of action is OVERRULED.

2. Second
Cause of Action (Civil Extortion).

Cross-Defendant
argues that she has a constitutional right to report to the police what she believes was a crime at any time and there is no allegation that Cross-defendant obtained any money from Cross-Complainant.

Cross-Complainant
argues that more than just reporting conduct was pled. Rather, Cross-Defendant threatened to accuse Lee of a crime unless she paid large sums of money and complied with coercive demands. Cross-Defendant also argues that money need not have been paid in order for an extortion claim to lie.

However,
Plaintiff has not pled damages recoverable for extortion:

78. Shi and
Lucia Chen, directed and/or ratified by attorneys Chang, Li, Yen and Chang & Lee, threatened to report Amy Lee to law enforcement with fabricated accusations unless she paid \$1–2 million (later \$350,000), and further demanded she "use all her resources" to achieve UC Berkeley admission and graduation for Lucia Chen.

79. These
threats were made for the purpose of coercing Amy Lee into surrendering her right to collect unpaid compensation, compromising or abandoning collection efforts, and extracting money that she did not owe.

80. As a

direct and proximate result of Cross-Defendants' threats, Amy Lee was placed in fear and was coerced into refraining from fully pursuing collection of the substantial unpaid sums due for her work. She curtailed, delayed, compromised, or abandoned efforts to collect the full value of services rendered because she feared criminal accusations, reputational ruin, further harassment, and business destruction.

81. This

forbearance from collection caused economic harm, including loss of receivables, impairment of collection rights, lost business expectancy, and related financial injury in an amount according to proof.

Cross-Complainant

has not alleged that Cross-Defendant obtained property with Cross-Complainant's consent, which is an element of extortion. Cross-Complainant's allegation that she refrained from fully pursuing collection of unpaid sums for her work is insufficient, as there is no allegation that she gave any money or property to Cross-Defendants. To the extent that Cross-Complainant's labor could be considered "property" for purposes of extortion, Cross-Complainant alleges that she performed such labor prior to the threats made by Cross-Defendants.

"Extortion is the obtaining of property from another, with his consent, or the obtaining of an official act of a public officer, induced by a wrongful [*1170] use of force or fear, or under color of official right." (Citations omitted.) Fear for purposes of extortion may be accomplished by a threat "[t]o do an unlawful injury to the person or property of the individual threatened or of a third person" (Citation omitted.) . . .

. . .

. . . [*1171] . . . In order to establish extortion, "the wrongful use of force or fear must be the operating or controlling cause compelling the victim's consent to surrender the thing to the extortionist. [Citation.]" (Citation omitted.)

(Chan v. Lund (2010) 188 Cal.App.4th 1159, 1169-1171 [bold emphasis and underlining added].)

In their demurrers, defendants contend "extortion" is

only a crime and cannot form the basis for a civil action in tort. We disagree. However denominated (e.g., extortion, menace, duress), our Supreme Court has recognized a cause of action for the recovery of money obtained by the wrongful threat of criminal or civil prosecution. (Citations omitted.) It is essentially a cause of action for moneys obtained by duress, a form of fraud. (Citation omitted.)

. . .

The fatal flaw in plaintiff's action is that she apparently never paid the money defendants demanded in their letters. The only actual damages plaintiff alleges are her emotional distress and attorney fees.

(Fuhrman v. Cal. Satellite Sys. (1986) 179 Cal.App.3d 408, 426, overruled on other grounds in Silberg v. Anderson (1990) 50 Cal.3d 205, 219 [italics in original, bold emphasis added].)

This cause of action fails.

The demurrer to the second cause of action is SUSTAINED without leave to amend.

3. Third Cause of Action (Conspiracy to Commit Extortion).

"Conspiracy is not a cause of action, but a legal doctrine that imposes liability on persons who, although not actually committing a tort themselves, share with the immediate tortfeasors a common plan or design in its perpetration. ... [¶] Standing alone, a conspiracy does [*955] no harm and engenders no tort liability. It must be activated by the commission of an actual tort." (Citation omitted.) "A conspiracy cannot be alleged as a tort separate from the underlying wrong it is organized to achieve." (Citation omitted.)

(Moran v. Endres (2006) 135 Cal.App.4th 952, 954-55.)

Because

the extortion cause of action does not survive demurrer, neither does this cause of action for conspiracy to commit extortion.

The

demurrer to the third cause of action is SUSTAINED without leave to amend.

4. Fourth

Cause of Action (Aiding and Abetting Extortion).

“Liability may ... be imposed

on one who aids and abets the commission of an intentional tort if the person ...

knows the other's conduct constitutes a breach of duty and gives substantial assistance or encouragement to the other to so act’ [Citations.]” (Fiol

v. Doellstedt (1996) 50 Cal.App.4th 1318, 1325 [58 Cal. Rptr. 2d

308].) This is consistent with the Restatement Second of Torts, which

recognizes a cause of action for aiding and abetting in a civil action when it provides: “For harm resulting to a third person from the tortious conduct of

another, one is subject to liability if he [¶] ... [¶] (b) knows that the other's

conduct constitutes a breach of duty and gives substantial assistance or

encouragement to the other so to conduct himself” (Rest.2d Torts, § 876,

subd. (b).) “Advice or encouragement to act operates as a moral

support to a tortfeasor and if the act encouraged is known to be

tortious it has the same effect upon the liability of the adviser as

participation or physical assistance. ... It likewise applies to a person who

knowingly gives substantial aid to another who, as he knows, intends to do a

tortious act.” (Rest.2d Torts, § 876, com. d, p. 317.)

(Schulz v. Neovi Data Corp. (2007)

152 Cal.App.4th 86, 93-97.)

Because

the extortion cause of action does not survive demurrer, neither does this cause of action for aiding and abetting extortion.

The

demurrer to the fourth cause of action is SUSTAINED without leave to amend.

5. Fifth

Cause of Action (Intentional Infliction of Emotional Distress).

Cross-Defendant

argues that Cross-Complainant has not pled any threats of physical harm, nor extreme and outrageous conduct through unfounded threats.

“The elements

of the tort of intentional infliction of emotional distress are: ‘ “(1) extreme and outrageous conduct by the defendant with the intention of causing, or reckless disregard of the probability of causing, emotional distress; (2) the plaintiff’s suffering severe or extreme emotional distress; and (3) actual and proximate causation of the emotional distress by the defendant’s outrageous conduct. ...” Conduct to be outrageous must be so extreme as to exceed all bounds of that usually tolerated in a civilized community.’ [Citation.]” (Citation omitted.) “It is not enough that the conduct be intentional and outrageous. It must be conduct directed at the plaintiff, or occur in the presence of a plaintiff of whom the defendant is aware.” (Ibid.)

(Catsouras v. Department of California Highway Patrol (2010) 181 Cal.App.4th 856, 874-75.)

“Ordinarily mere insulting language, without more, does not constitute outrageous conduct.” (Citation omitted.) But, it has long been recognized “a cause of action is established when it is shown that one, in the absence of any privilege, intentionally subjects another to the mental suffering incident to serious threats to his physical well-being, whether or not the threats are made under such circumstances as to constitute a technical assault.” (Citation omitted.) Under the circumstances of this case, the jury could reasonably conclude the Meihaus brothers’ words and actions [*1614] combined “d[id] not constitute mere violations of the niceties of polite conversation,” but rather “constitute[d] outrageous conduct intended to inflict emotional distress” (Kiseskey v. Carpenters’ Trust for So. California, supra, 144 Cal.App.3d at p. 230.)

(Plotnik v. Meihaus (2012) 208 Cal.App.4th 1590, 1613-14 [bold emphasis added].)

Here, Cross-Complainant does not allege any threats by Cross-Defendant to

her physical well-being. Further, “[d]emanding seven-figure payments and threatening criminal accusations based on fabricated allegations, as well as making impossible demands that Amy Lee somehow arrange for Lucia Chen’s admission to UC Berkeley’s main campus” (Cross-Complaint, ¶ 70 [bold emphasis added]) is not so extreme as to exceed all bounds of that usually tolerated in a civilized community. If these demands are baseless and fanciful, a reasonable person would have scoffed at them, not capitulate in fear.

“Regarding emotional distress, the trial court initially determines whether a defendant’s conduct may reasonably be regarded as so extreme and outrageous as to permit recovery. Where reasonable men can differ, the jury determines whether the conduct has been extreme and outrageous to result in liability. Otherwise stated, the court determines whether severe emotional distress can be found; the jury determines whether on the evidence it has, in fact, existed. [Citation.]” (Citation omitted.)

(Plotnik v. Meihaus
(2012) 208 Cal.App.4th 1590, 1613-14.)

The unannounced in-person confrontation at Cross-Defendant’s office during which Yanling Shi repeated threats that Amy Lee would be reported to the police, arrested, and have her life ruined if she did not pay the demanded sums (1ACC, ¶ 105) does not change the analysis. If Cross-Complainant did not engage in any criminal conduct, then she had nothing to fear. If she did engage in criminal conduct, then it is not extreme and outrageous conduct to threaten to report a crime to the police.

The demurrer to the fifth cause of action is SUSTAINED without leave to amend.

6. Sixth Cause of Action (Defamation—Libel/Slander Per Se) and Eighth Cause of Action (Account Stated).

Cross-Complainant

argues that the Court already overruled Cross-Defendants' demurrer to these cause of action. (RJN Exh. A, pp. 1, 8, 9.)

(b)A party

demurring to a pleading that has been amended after a demurrer to an earlier version of the pleading was sustained shall not demur to any portion of the amended complaint, cross-complaint, or answer on grounds that could have been raised by demurrer to the earlier version of the complaint, cross-complaint, or answer.

(Code Civ. Proc. § 430.41(b)[bold emphasis and underlining added].)

As

Cross-Complainant points out, the Court already overruled these Cross-Defendants' demurrer to the sixth and eighth causes of action. To the extent the Cross-Defendants are raising different arguments than before, they are improperly demurring on grounds that could have been raised earlier to "any portion." Moreover, Cross-Defendants did not even offer argument in support of a demurrer to the sixth

cause of action.

The

demurrer to the sixth and eight causes of action is OVERRULED.

7. Seventh

Cause of Action (Open Book Account).

Cross-Defendant

argues that the Cross-Complaint does not allege credits and debits kept in a bound book, sheets in a book, cards of a permanent character or some other reasonably permanent form and manner.

As stated in Tsemetzin v. Coast

Federal Savings & Loan Assn. (1997) 57 Cal.App.4th 1334, 1343-44:

A book account is defined in Code of

Civil Procedure section 337a, as follows: "The term 'book account' means a detailed statement which constitutes the principal record of one or more transactions between a debtor and a creditor arising out of a contract or

some fiduciary relation, and shows the debits and credit in connection therewith, and against whom and in favor of whom entries are made, is entered in the regular course of business as conducted by such creditor or fiduciary, and is kept in a reasonably permanent form and manner and is (1) in a bound book, or (2) on a sheet or sheets fastened in a book or to backing but detachable therefrom, or (3) on a card or cards of a permanent character, or is kept in any other reasonably permanent form and manner." (Italics added.)

. . . In addition . . . [i]t seems to be well settled that monies which become due under an express contract (such as rent due under a lease) cannot, in the absence of a contrary agreement between the parties, be treated as items under an open book account so as to allow the unpaid creditor to evade or extend the statutory limitations period. (Citations omitted.)

(Bold emphasis added.)

Here,
the 1ACC alleges:

119. The running account was kept in a reasonably permanent form, including written records, electronic records, invoices, messages confirming balances, payment records, and other business records maintained in the ordinary course by Cross-Complainant.

120. The account recorded charges for services performed, credits for payments received, and balances remaining due on the parties' ongoing educational consulting and tutoring relationship.

121. The open book account is further evidenced by the parties' repeated communications, partial payments, and records reflecting acknowledgment of ongoing amounts due for services rendered. Despite due demand, Shi and Chen have failed and refused to pay the remaining balance owed on the account, and the entire amount remains due and unpaid.

(1ACC, ¶¶ 119 – 121 [bold emphasis added].)

For

purposes of demurrer, this cause of action is sufficiently pled.

The

demurrer to the seventh cause of action is OVERRULED.

Motion To Strike As To Cross-Complaint filed by

Defendant/Cross-Complainant Amy Lee

Meet and Confer

The

Declaration of Li Chen reflects that Cross-Defendant's counsel satisfied the meet and confer requirement set forth in Civ. Proc. Code, § 435.5.

Discussion

The Court

has reviewed the moving, opposing and reply briefs filed by the parties, but only addresses the points which the Court deems to be material to the disposition of this motion.

Plaintiffs/Cross-Defendants Lucia Chen and Yanling

Shi move to strike the following portions of the First Amended Cross-Complaint filed by Cross-Complainant Lee as follows:

1. "and punitive damages" [First Amended Cross-Complaint 14:26].

MOOT by virtue of the ruling on the demurrer to the second cause of action.

2. "and punitive damages" [First Amended Cross-Complaint 16:23].

MOOT by virtue of the ruling on the demurrer to the fourth cause of action.

3. "and punitive damages" [First Amended Cross-Complaint 18:16].

MOOT by virtue of the ruling on the demurrer to the fifth cause of action.

4. "special and punitive damages"

[First Amended Cross-Complaint 19:20-21].

DENIED.

There are sufficient facts pled in connection with the sixth cause of action to support a finding of malice, which is defined to include conduct which is intended by the defendant to cause injury to the plaintiff

5. "For Special damages including

lost income/business expectancy;" [First Amended Cross-Complaint 23:12].

DENIED.

Cross-Defendants did not offer any argument to support this request to strike.

6. "For Punitive and exemplary

damages pursuant to Civ. Code § 3294;" [First Amended Cross-Complaint 23:13].

DENIED.

As discussed above, there are sufficient facts pled to constitute malice for purposes of punitive damages.

Cross-Defendants are to answer the remaining allegations of the First Amended Cross-Complaint filed by Cross-Complainant Lee within 10 days.